

Aastha Insurance Operations and Procedures

This document outlines the operational procedures for Aastha Insurance Brokers Pvt Ltd, utilizing a tri-partite system architecture: CRM (SaaS), Reconciliation Tool (Manual/Bridge), and Tally Prime (Accounting).

1. Operational System Architecture

- **CRM (SaaS):** Manages policy booking, customer data, and policy/endorsement entry.
Note: Actual brokerage data is not stored here.
- **Reconciliation Tool (Bridge):** Manages data normalization, matching CRM output against insurer statements, and financial validation.
- **Tally Prime:** Manages official invoicing, bookkeeping, receipt management, and tax compliance (TDS/GST).

2. Sales and Policy Lifecycle (CRM)

1. **Sales Sourcing:** Business is generated via direct sales, referral partners, digital partners, internal sales personnel, business associates, and POSPs.
2. **Policy Entry:** New policies and all types of endorsements (positive, negative, or nil/non-financial) are logged into the CRM.
3. **CRM Reporting:** The CRM generates a "Policy Booking Report" for a custom date or period, which includes IRDA-prescribed brokerage percentages and customer/product details.

3. Brokerage Reconciliation (Reconciliation Tool)

This is the core operational step where data from the CRM and insurers is unified.

1. **Statement Collection:** Request insurer-wise brokerage statements (often branch-wise or business-type-wise) based on the "Policy Booked" reports generated from the CRM.
2. **Data Mapping:** Map the CRM policy records against the raw data received from insurers.
3. **Brokerage Validation:**
 - Identify "Actual" brokerage (Basic + Incentives).
 - Identify discrepancies: Policies missing from statements vs. policies missing from CRM.
4. **Reconciliation Tasks:**
 - Match CRM records vs. Insurer statements.
 - Verify "Expected Brokerage" (from CRM) vs. "Actual Brokerage" (from Statement).
 - Reconcile invoice amounts vs. receipt amounts received from insurers.

- Validate TDS and GST figures.

4. Financial Accounting (Tally Prime)

1. **Invoicing:** Sales invoices are created in Tally Prime based solely on the validated data from the Reconciliation Tool. Invoices include GST on the gross amount; TDS (5% or 10%) is not deducted at the invoicing stage.
2. **Receipts & Bookkeeping:**
 - Record incoming payments (which typically include TDS deductions by the insurer).
 - Calculate and book TDS for each receipt.
 - Reconcile the invoice balance against actual receipts received.

5. Reporting and Channel Management

1. **Regulatory Reporting:** Generate monthly MIS reports for IRDAI compliance, including:
 - Insurer-wise business performance.
 - Top 10 client-wise business.
 - Channel-wise revenue generation (Referral/Digital/Sales/Associate/POSP).
2. **Partner Payouts:** Calculate channel-wise revenue share at the policy level based on the validated reconciliation data.